November 10, 2026 05:18 PM GMT

Gold Circuit Electronics Ltd. | Asia Pacific

3Q26 GM beat; Stay OW

WHAT'S CHANGED

Gold Circuit Electronics Ltd. (2368.TW)	From	To
Price Target	NT$1,450.00	**NT$1,400.00**

AlphaSignals Earnings Reaction

Unchanged
Impact to our thesis

— In-line
Financial results versus consensus

— Largely unchanged
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We expect ongoing margin expansion in 4Q26 and 2027, on improving product mix and pricing adjustments, but we lower our medium-term growth rate to bake in some conservatism. The stock still looks attractive at ~13.5x 2027e P/E. Stay OW.

See our 3Q26 results recap: 3Q26 Results Summary

4Q preview – revenue growth and margin expansion: We estimate 4Q revenue will rise ~8% q/q, to NT$31.8bn (+94% y/y), driven by higher ASPs and shipments deferred from Sep – Oct following flood-related logistics disruptions in Thailand. We expect sequential revenue growth across all major product segments except PC/NB, with networking delivering the largest increase, followed by AI/ASIC servers and general servers. We forecast margin expansion of ~100bps q/q, to 39.7% (+600bps y/y), supported by continued mix improvement and pricing adjustments to pass through higher copper-clad laminate (CCL) costs. This should translate into net profit of ~NT$7bn (+9% q/q, +130% y/y) and EPS of NT$13.82.

GCE's Suzhou 2 and Thailand 2 plants remain on track to begin mass production (MP) from 3Q27 and reach full ramp-up by end-CY27. Both facilities will support advanced high-density interconnect (HDI) production for a key customer's next-gen compute board, which we think could adopt a 34-layer (3+28+3) advanced HDI design using M9-grade CCL. While details remain subject to finalization, we expect each plant to add monthly output value of ~NT$1bn or more. We also expect at least one additional plant to begin advanced HDI MP in CY28, although details have yet to be finalized. This would give GCE at least three plants capable of advanced HDI production to meet demand from existing ASIC, and potential new, customers.

Reiterate OW with PT slightly lowered to NT$1,400, on our reduced medium-term growth assumption (from 12% to 11%), as we bake in some conservatism on concerns over a potential slowdown in data center build-out post the US midterm election (see our Global Team's view), despite our marginally higher EPS estimates for 2026-28e. Our new PT implies ~19x 2027e P/E, or ~14x 2028e P/E, slightly lowered but still above GCE's 3Y P/E avg. of ~14x, which we view as fair, driven by its capacity expansion plans and strong demand for AI servers and networking, with room for margin expansion.

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Gold Circuit Electronics Ltd. (2368.TW, 2368 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,400.00
Up/downside to price target (%)	42
Shr price, close (Nov 10, 2026)	NT$983.00
52-Week Range	NT$1,580.00-470.00
Sh out, dil, curr (mn)	517
Mkt cap, curr (mn)	NT$507,831
EV, curr (mn)	NT$498,729
Avg daily trading value (mn)	NT$8,980

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	19.47	43.86	72.46	97.91
Prior EPS (NT$)**	-	43.23	70.43	95.07
EPS (NT$)§	19.10	40.44	70.83	100.96
Revenue, net (NT$ mn)	60,004	104,971	150,035	191,823
EBITDA (NT$ mn)	15,359	31,406	51,678	69,601
P/E	35.3	22.4	13.6	10.0
P/BV	10.1	9.6	6.5	4.6
RNOA (%)	74.6	98.7	111.0	118.9
ROE (%)	45.1	64.6	71.0	64.4
EV/EBITDA	21.5	15.7	9.3	6.6
Div yld (%)	0.9	1.0	2.3	3.8
FCF yld ratio (%)**	(1.4)	2.1	5.4	8.2
Leverage (EOP) (%)	(27.2)	(28.6)	(39.3)	(48.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

Beneficiary of rising AI server penetration and server/switch PCB upgrade; OW

PRICE TARGET NT$1,400.00

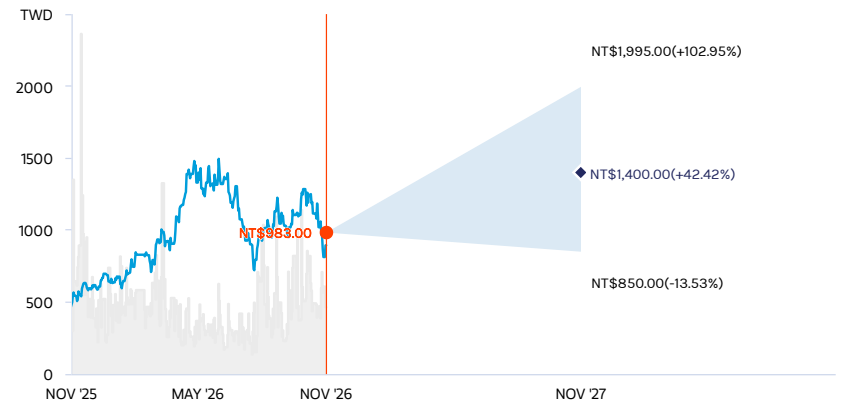
Base case, residual income model. Key assumptions include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% and a terminal growth rate of 3%.

Consensus Price Target Distribution NT$780.00 NT$1,517.78 MS PT NT$2,000.00

Source: Refinitiv, Morgan Stanley Research

Mean Morgan Stanley Estimates

RISK REWARD CHART



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We stay OW because we think GCE is well positioned to benefit from rising demand for AI server PCBs and high-speed networking PCBs.
- We see 800G networking PCB demand increasing in the coming years, which should be a tailwind for gross margin in the longer term.
- Our price target implies ~19x 2027e P/E vs. GCE's three-year historical 6-26x range, which we still find attractive. GCE is benefiting from a favorable mix and should show margin expansion in the coming years.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,995.00

27.5x 2027e EPS

Much stronger server and switch growth in 2026; NB demand continues to grow y/y; gains more traction for IC testing boards: Server and switch demand continues to grow y/y in 2026, driven by new data center construction and replacements along with AI infrastructure build-outs. NB demand also shows y/y growth in 2026. In addition, GCE gains more traction for IC testing boards, even penetrating into probe card PCBs faster than expected.

BASE CASE NT$1,400.00

19x 2027e P/E

Server demand remains on growth track in 2026; NB demand shows flat to mild growth: We forecast a total sales CAGR of ~47%, 2025-28, with server business CAGR reaching 50% and networking business CAGR reaching 57%. We project that operating profit margin will reach ~35% by 2028 vs. ~23% in 2025.

BEAR CASE NT$850.00

11.7x 2027e EPS

Much weaker server and switch demand in 2026; NB demand deteriorates, and shipments fall y/y in 2026; IC testing board business takes longer than expected to develop: Server and switch demand falls in 2026, hampered by a weakening macro backdrop and hyperscalers cutting capex to preserve cash. NB business faces even weaker demand, at down ~15% y/y in 2026. GCE takes longer to ramp up its IC testing board business.

Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

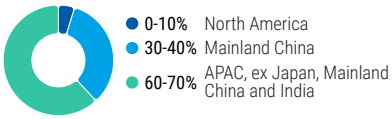
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Server Revenue Contribution (%)	74.3	76.4	77.7	78.6

INVESTMENT DRIVERS

- Server/switch volume growth driven by US hyperscalers and enterprise customers
- Server/switch PCB content growth driven by CCL spec and PCB layer count
- IC testing board project wins
- NB demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected server and switch demand
- Stronger-than-expected NB demand
- Higher-than-expected pricing supported by strong product capability and market competitiveness
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Slower-than-expected server demand
- Weaker-than-expected NB demand
- More severe pricing erosion driven by competition
- Slower-than-expected AI server penetration

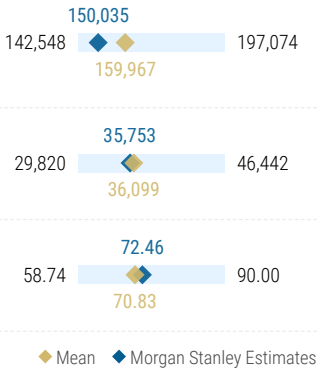
OWNERSHIP POSITIONING

Inst. Owners, % Active 59.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

3Q26 Results Summary

- GCE reported 3Q26 gross margin of 38.7% (+400bp q/q, +310bp y/y), 180bp above MSe and 190bps above the Street forecast. Management attributed the gross margin improvement to successful cost pass-through, more favorable product mix (AI mix was over 50% in the quarter; 800G switch mix also continued to increase within Networking) and better profitability of the Thailand plant.
- Recall that we noted although GCE is able to fully pass through the additional material costs to its customers, there will always be a timing difference (GCE seeing higher input costs vs. reflecting the higher costs in new prices), which might result in margin fluctuation.

- Operating expenses were again higher than expected, primarily due to higher employee bonuses for talent retention and sales expenses. Thus, operating profit came in at NT$8.8B (+36% q/q, +88% y/y), in line with MSe but 1% below consensus forecasts, for operating margin of 29.6%.
- Non-operating losses of NT$238mn, primarily consisting of FX losses, were higher than our and Street estimates of non-operating gains.
- Net profit was NT$6.4B (+33% q/q, +98% y/y), 2% above our estimate and the Street, for EPS of NT$12.39.
- The differences between net profit variances and EPS variances reflect share count changes.

Exhibit 1: GCE 3Q26 results summary

	3Q26P Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Variance**	**Cons**	**Variance**
Net sales	**29,567**	**22%**	**67%**	**30,736**	**-4%**	**30,617**	**-3%**
COGS	-18,125	14%	59%	-19,397	-7%	-19,341	-6%
Gross profit	**11,443**	**36%**	**82%**	**11,339**	**1%**	**11,276**	**1%**
Operating expenses	-2,690	35%	64%	-2,561	5%	-2,452	10%
Operating income	**8,753**	**36%**	**88%**	**8,778**	**0%**	**8,824**	**-1%**
Non-operating income	-238	NM	NM	53	NM	26	NM
Pre-tax income	**8,515**	**35%**	**80%**	**8,831**	**-4%**	**8,851**	**-4%**
Income tax	-2,129	40%	42%	-2,561	-17%	-2,576	-17%
Net income	**6,386**	**33%**	**98%**	**6,270**	**2%**	**6,275**	**2%**
EPS (NT$)	**12.39**	**33%**	**91%**	**12.36**	**0%**	**12.37**	**0%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	38.7%	4.0	3.1	36.9%	1.8	36.8%	1.9
Operating margin	29.6%	3.2	3.3	28.6%	1.0	28.8%	0.8
Pre-tax margin	28.8%	2.9	2.0	28.7%	0.1	28.9%	-0.1
Net margin	21.6%	1.9	3.3	20.4%	1.2	20.5%	1.1

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Estimate Changes

We raise our 2026/2027/2028 EPS estimates 1%, 3% and 3%, respectively, driven by our higher margin assumptions post the 3Q26 margin beat.

Exhibit 2: Estimate changes

	2026e			2027e			2028e		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**104,971**	**106,743**	**-2%**	**150,035**	**152,946**	**-2%**	**191,823**	**195,464**	**-2%**
COGS	-65,755	-68,007	-3%	-88,056	-92,737	-5%	-110,332	-116,337	-5%
Gross profit	**39,216**	**38,736**	**1%**	**61,979**	**60,209**	**3%**	**81,491**	**79,128**	**3%**
Operating expenses	-9,126	-8,837	3%	-12,069	-11,475	5%	-13,892	-13,269	5%
Operating income	30,090	29,899	1%	49,910	48,733	2%	67,599	65,859	3%
Non-operating income	-341	-109	212%	447	211	111%	447	211	111%
Pre-tax income	29,748	29,789	0%	50,357	48,945	3%	68,046	66,070	3%
Income tax	-8,105	-8,457	-4%	-14,604	-14,194	3%	-19,733	-19,160	3%
Net income	**21,644**	**21,333**	**1%**	**35,753**	**34,751**	**3%**	**48,313**	**46,910**	**3%**
EPS (NT$)	**43.86**	**43.23**	**1%**	**72.46**	**70.43**	**3%**	**97.91**	**95.07**	**3%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	37.4%	36.3%	1.1	41.3%	39.4%	1.9	42.5%	40.5%	2.0
Operating margin	28.7%	28.0%	0.7	33.3%	31.9%	1.4	35.2%	33.7%	1.5
Pre-tax margin	28.3%	27.9%	0.4	33.6%	32.0%	1.6	35.5%	33.8%	1.7
Net margin	20.6%	20.0%	0.6	23.8%	22.7%	1.1	25.2%	24.0%	1.2

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

We lower our price target slightly, to NT$1,400.00 from NT$1,450.00: We derive our price target, which is also our base-case scenario value, from a residual income (RI) model, similar to the rest of our tech hardware coverage. The decrease in our price target is driven by our slightly lowered medium-term growth assumption.

Our key assumptions include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% (lowered from 12%) and a terminal growth rate of 3%.

Our price target implies ~19x 2027e P/E, or ~14x 2028e P/E, vs. GCE's three-year historical average 14.2x. We view the higher multiple as justified because GCE is showing longer-term margin expansion, driven by a favorable mix shift toward more AI server PCBs and high-speed networking PCBs (400G/800G/1.6T) alike. Some of its AI component peers are trading at 20x+ 2027e multiple, which leads us to view GCE's valuation as fair.

Our bull- and bear-case scenario values decrease at magnitudes similar to the decline in our base-case value, to NT$1,995.00 and NT$850.00, respectively.

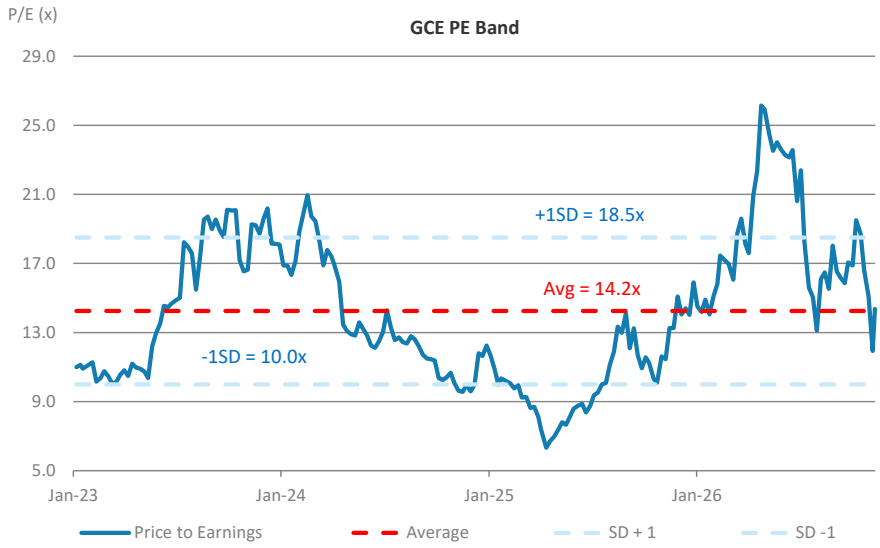
Exhibit 3: Residual income (RI) model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2035E
Total Equity		**50,343**	**74,979**	**104,927**	**139,804**	**178,518**	**221,490**	**269,189**	**322,135**	**380,905**	**446,139**	**510,525**
Net Profit		**21,644**	**35,753**	**48,313**	**53,627**	**59,526**	**66,074**	**73,342**	**81,410**	**90,365**	**100,305**	**103,315**
Return on Equity		**51.6%**	**57.1%**	**53.7%**	**43.8%**	**37.4%**	**33.0%**	**29.9%**	**27.5%**	**25.7%**	**24.3%**	**21.6%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		**14,204**	**24,085**	**33,359**	**36,313**	**39,400**	**42,521**	**45,797**	**49,308**	**53,118**	**57,284**	**55,238**
Spread		**42.4%**	**47.8%**	**44.5%**	**34.6%**	**28.2%**	**23.8%**	**20.7%**	**18.3%**	**16.5%**	**15.0%**	**12.4%**

Beginning Equity Capital	50,343
PV of Forecast Period	261,541
PV of Continuing Value	378,913
Equity Value	**690,796**
No. of Shares	493
Projected Price	**1,400.0**
Implied 2027 PE	19.3x
Implied 2028 PE	14.3x

Source: Morgan Stanley Research (E) estimates.

Exhibit 4: GCE three-year P/E band



Source: TEJ, Morgan Stanley Research.

Financials

Exhibit 5: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Net sales	**12,063**	**13,853**	**17,680**	**16,408**	**19,313**	**24,279**	**29,567**	**31,811**	**60,004**	**104,971**	**150,035**	**191,823**
COGS	(8,287)	(9,757)	(11,392)	(10,884)	(12,590)	(15,866)	(18,125)	(19,174)	(40,321)	(65,755)	(88,056)	(110,332)
Gross profit	**3,776**	**4,095**	**6,288**	**5,524**	**6,722**	**8,413**	**11,443**	**12,638**	**19,683**	**39,216**	**61,979**	**81,491**
Operating expenses	(1,233)	(1,228)	(1,642)	(1,537)	(1,538)	(1,996)	(2,690)	(2,903)	(5,640)	(9,126)	(12,069)	(13,892)
SG&A	(958)	(932)	(1,309)	(1,184)	(1,195)	(1,568)	(2,123)	(2,291)	(4,383)	(7,177)	(9,589)	(11,065)
R&D	(274)	(296)	(333)	(353)	(343)	(428)	(567)	(612)	(1,256)	(1,949)	(2,479)	(2,827)
Operating income	**2,543**	**2,868**	**4,646**	**3,987**	**5,185**	**6,418**	**8,753**	**9,735**	**14,043**	**30,090**	**49,910**	**67,599**
Non-operating income	**110**	**(359)**	**84**	**295**	**(97)**	**(118)**	**(238)**	**112**	**130**	**(341)**	**447**	**447**
Interest income	17	28	6	5	13	72	72	72	55	228	287	287
Investment income	0	0	0	0	0	0	0	0	0	0	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	112	(797)	309	243	(14)	(255)	0	0	(133)	(269)	0	0
Other	(19)	411	(232)	48	(96)	65	(310)	40	208	(300)	160	160
Pre-tax income	**2,653**	**2,509**	**4,729**	**4,282**	**5,088**	**6,299**	**8,515**	**9,846**	**14,173**	**29,748**	**50,357**	**68,046**
Income tax	(900)	(815)	(1,501)	(1,351)	(1,604)	(1,516)	(2,129)	(2,855)	(4,567)	(8,105)	(14,604)	(19,733)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	**1,753**	**1,694**	**3,229**	**2,931**	**3,484**	**4,783**	**6,386**	**6,991**	**9,607**	**21,644**	**35,753**	**48,313**
Adj.wtd.avg.shrs (mn)	487	487	497	493	507	515	515	515	493	493	493	493
EPS	**3.60**	**3.48**	**6.49**	**5.94**	**6.87**	**9.28**	**12.39**	**13.56**	**19.47**	**43.86**	**72.46**	**97.91**
Fully Diluted shares (mn)	507	505	506	506	506	506	506	506	493	493	493	493
Diluted EPS (NT$)	**3.46**	**3.35**	**6.38**	**5.79**	**6.88**	**9.45**	**12.62**	**13.82**	**19.47**	**43.86**	**72.46**	**97.91**
Margins (%)												
Gross Margin	31.3	29.6	35.6	33.7	34.8	34.7	38.7	39.7	32.8	37.4	41.3	42.5
Operating Margin	21.1	20.7	26.3	24.3	26.8	26.4	29.6	30.6	23.4	28.7	33.3	35.2
Pretax Margin	22.0	18.1	26.8	26.1	26.3	25.9	28.8	31.0	23.6	28.3	33.6	35.5
Net Margin	14.5	12.2	18.3	17.9	18.0	19.7	21.6	22.0	16.0	20.6	23.8	25.2
QoQ Growth (%)												
Sales	22	15	28	-7	18	26	22	8				
Gross Profit	48	8	54	-12	22	25	36	10				
Operating Profit	55	13	62	-14	30	24	36	11				
Pretax Profit	33	-5	89	-9	19	24	35	16				
Net Profit	37	-3	91	-9	19	37	33	9				
YoY Growth (%)												
Sales	33	45	69	66	60	75	67	94	54	75	43	28
Gross Profit	55	35	86	116	78	105	82	129	73	99	58	31
Operating Profit	47	30	85	144	104	124	88	144	74	114	66	35
Pretax Profit	44	9	101	114	92	151	80	130	67	110	69	35
Net Profit	44	11	102	129	99	182	98	139	71	125	65	35

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 6: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**60,004**	**104,971**	**150,035**	**191,823**
COGS	(40,321)	(65,755)	(88,056)	(110,332)
Gross profit	**19,683**	**39,216**	**61,979**	**81,491**
Operating expenses	(5,640)	(9,126)	(12,069)	(13,892)
Operating income	**14,043**	**30,090**	**49,910**	**67,599**
Non-operating income	**130**	**(341)**	**447**	**447**
Interest income	55	228	287	287
Investment income	-	-	-	-
Disposal of investment	-	-	-	-
Exchange gain	(133)	(269)	-	-
Other	208	(300)	160	160
Pre-tax income	**14,173**	**29,748**	**50,357**	**68,046**
Income tax	(4,567)	(8,105)	(14,604)	(19,733)
Minority interests	-	-	-	-
Net income	**9,607**	**21,644**	**35,753**	**48,313**
Adj. wtd. Avg. shrs (m)	493	493	493	493
Reported EPS (NT$)	**19.47**	**43.86**	**72.46**	**97.91**
Diluted shrs (m)	493	493	493	493
Diluted EPS (NT$)	**19.47**	**43.86**	**72.46**	**97.91**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**2,259**	**9,296**	**22,904**	**37,222**
Net Profits	9,607	21,644	35,753	48,313
Depreciation & Amort.	1,316	1,316	1,768	2,001
Investment losses/(income)	0	0	0	0
Working capital change	29,570	(12,860)	(13,812)	(12,345)
Other adjustments	(38,149)	(803)	(805)	(747)
Investing Cashflow	**(7,033)**	**(7,447)**	**(4,924)**	**(4,903)**
Capex	(6,733)	(7,500)	(5,000)	(5,000)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	(330)	0	0	0
Financing Cashflow	**13,241**	**2,664**	**(3,384)**	**(11,230)**
Increase in L/T debt	11,559	(500)	(500)	(500)
Increase in S/T debt	4,683	0	0	0
Issuance of stock	0	(117)	0	0
Cash dividends	(2,920)	(4,934)	(11,117)	(18,365)
Other adjustments	(81)	8,215	8,233	7,635
FX adjustment	463	269	0	0
Net change in cash	**8,930**	**4,782**	**14,596**	**21,089**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**18,114**	**22,897**	**37,493**	**58,582**
Mkt securities	403	403	403	403
AR/NR	27,001	47,235	67,514	86,318
Inventory	9,747	15,895	21,286	26,671
Others	1,072	1,876	2,681	3,428
Current Assets	**56,337**	**88,306**	**129,377**	**175,402**
Long-term investments	851	851	851	851
Fixed assets	17,840	23,971	27,127	30,029
Other assets	717	717	717	717
Total Assets	**75,746**	**113,846**	**158,072**	**206,999**
S/T borrowings	6,116	6,116	6,116	6,116
AP/NP	11,029	17,985	24,085	30,178
Other ST liabilities	10,409	16,975	22,733	28,484
Total Current Liabilities	**27,554**	**41,076**	**52,934**	**64,777**
L/T debt	3,749	3,249	2,749	2,249
Other LT libilities	10,963	19,178	27,411	35,046
Total Liabilities	**42,265**	**63,503**	**83,094**	**102,072**
Common shares	5,051	4,934	4,934	4,934
Retained Earnings	18,895	35,873	60,509	90,457
Other SH' Equity	9,535	9,535	9,535	9,535
Total Shareholders' Equity	**33,481**	**50,343**	**74,979**	**104,927**
Total Liab./SH's Equity	**75,746**	**113,846**	**158,072**	**206,999**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	32.8	37.4	41.3	42.5
Operating margin	23.4	28.7	33.3	35.2
Pretax margin	23.6	28.3	33.6	35.5
Net margin	16.0	20.6	23.8	25.2
YoY growth (%)				
Sales	54.0	74.9	42.9	27.9
Operating profits	74.1	114.3	65.9	35.4
Pretax profits	66.9	109.9	69.3	35.1
Net profits	71.1	125.3	65.2	35.1
Others				
Cash dividend payout (%)	51%	51%	51%	51%
Cash div (NT$)	10.00	22.53	37.22	50.29
Yield (%)	1%	2%	4%	5%
Net Debt/Equity (%)	-26%	-28%	-39%	-48%
Liabilities/Equity (%)	126%	126%	111%	97%
Liabilities/Assets (%)	56%	56%	53%	49%
ROAE (%)	35%	52%	57%	54%
ROAA (%)	16%	23%	26%	26%
AR/NR Turnover (days)	123	129	140	146
Inventory Turnover (days)	80	71	77	79
AP/NP Turnover (days)	87	81	87	90
Cash conversion cycle	115	120	129	136

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

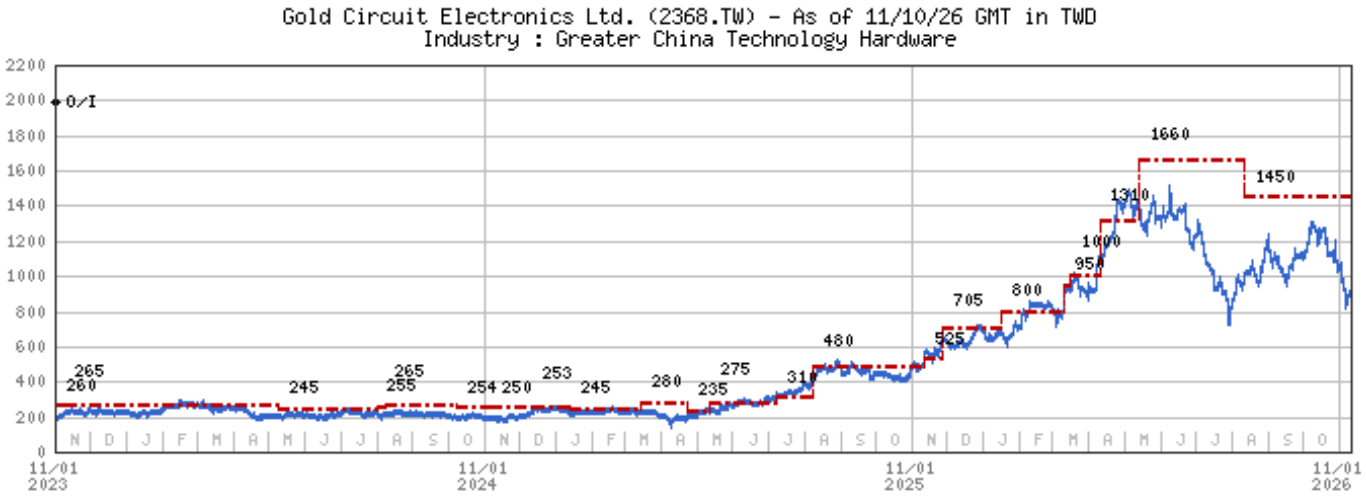
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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/6/22 : O/I

Price Target History: 10/6/22 : 115; 10/21/22 : 110; 1/2/23 : 108; 2/7/23 : 102; 5/12/23 : 114; 7/12/23 : 195; 8/11/23 : 200; 9/25/23 : 225; 10/17/23 : 260; 11/9/23 : 265; 5/9/24 : 245; 8/1/24 : 255; 8/8/24 : 265; 10/9/24 : 254; 11/7/24 : 250; 12/12/24 : 253; 1/13/25 : 245; 3/14/25 : 280; 4/23/25 : 235; 5/12/25 : 275; 7/9/25 : 310; 8/9/25 : 480; 11/12/25 : 525; 11/27/25 : 705; 1/16/26 : 800; 3/11/26 : 950; 3/16/26 : 1000; 4/10/26 : 1310; 5/14/26 : 1660; 8/11/26 : 1450

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

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